

Global HRMS Consolidation Test Strategy Document

Project Name: Global HRMS & Payroll System Consolidation

Target Platform: Oracle EBS R12.2 (Shared HRMS with Decentralized Regional Payroll Databases)

Scope: US, UK, & India (45,000+ Employees)

Test Management Tool: JIRA

Document Owner: Oracle HRMS Domain Test Manager

1. Introduction & Executive Summary

This Test Strategy Document defines the quality assurance framework, methodologies, and governance required to validate the consolidation of disparate legacy regional payroll and HR systems into a single, unified Oracle EBS R12.2 platform.

1.1 Objective

To mitigate operational, financial, and legal risks while migrating and consolidating HR and payroll data for over 45,000 employees globally. The strategy covers a full historical data migration (7+ years) and enforces strict validation of complex global payroll engines.

1.2 Scope of Operations

- **Core HR:** Single Global Shared HRMS instance across all regions.
 - **Payroll:** Decentralized, localized regional databases to satisfy specific compliance and legislative reporting mandates across three key territories:
 - **United States (US):** FLSA compliance, federal/state/local tax processing, W-2 reporting, and NACHA bank output.
 - **United Kingdom (UK):** HMRC Real Time Information (RTI), PAYE, National Insurance, Pension Auto-enrolment, and BACS/CHAPS bank output.
 - **India (IN):** Income Tax slabs, Provident Fund (PF), Employee State Insurance (ESI), Professional Tax (PT), Gratuity, and local electronic fund transfer formats.
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2. JIRA Test Management Framework & Governance

JIRA serves as the single source of truth for all testing lifecycles, execution metrics, and defect management.

2.1 JIRA Project Architecture

- **Project Structure:** A single, centralized JIRA project encompassing all three regions to ensure unified visibility and standard metrics.
- **Custom Fields for Traceability:**
 - **Region:** US, UK, IN, Global
 - **Module:** Core HR, Payroll, Fast Formulas, Elements, Data Migration, Integrations, Reporting
 - **Legacy System Reference ID:** Maps back to source systems.
 - **Tax Year:** To categorize historical data runs.

2.2 Issue Types & Workflow Mapping

The configuration utilizes standardized JIRA issue types mapped to a strict agile/waterfall hybrid workflow:

[Requirement / Epic] —> [Test Case] —> [Test Execution] —> [Defect (if failed)]

- **Epic:** Captures localized legal or regional tracks (e.g., *UK HMRC RTI Compliance*).
- **Story/Requirement:** Functional specifications, element definitions, or payroll balance rules.
- **Test:** Scripted test steps with explicit expected results.
- **Test Execution:** Tracks individual execution runs per cycle/environment.
- **Defect:** Blockers or bugs found during execution.

2.3 Workflow Statuses

To Do → In Progress → Ready for Review → Execution In Progress → Passed / Failed → Blocked

3. Test Methodology & Phased Execution

Testing will be carried out across five distinct phases to systematically eliminate defects.

Phase 1: Conference Room Pilot (CRP) / Functional Testing

- **Objective:** Validate global Core HR configurations, element setups, Fast Formulas, and basic regional configuration.
- **Focus:** Core HR hire-to-retire life cycles, payroll element entry screens, and security profile definitions.

Phase 2: Automated Data Migration Validation (7+ Years History)

- **Objective:** Validate 100% of historical data migrated from disparate legacy systems into Oracle EBS R12.2.
- **Strategy:**

- Automated script-based cell-by-cell reconciliation matching legacy databases against Oracle base tables (PER_ALL_PEOPLE_F, PAY_ELEMENT_ENTRIES_F, etc.).
- Automated verification of balance initializations for all historical tax years.

Phase 3: Parallel Payroll Run Testing

- **Objective:** Ensure absolute accuracy in gross-to-net calculations before final cutover.
- **Strategy:** Execution of **two consecutive parallel runs** covering 100% of the active employee population.
- **Validation Parameters:**
 - Compare Legacy Production Run \$N-1\$ vs. Oracle Parallel Run \$N-1\$.
 - Compare Legacy Production Run \$N\$ vs. Oracle Parallel Run \$N\$.
 - Tolerance Level: **Zero variance** for Net Pay, Statutory Tax Deductions, and Social Insurance contributions.

Phase 4: Centralized End-to-End (E2E) Integration Testing

- **Objective:** Validate all upstream and downstream automated data streams.
- **Scope:**
 - **US:** Third-party benefit vendor integrations, Kronos/Time systems, and NACHA ACH files.
 - **UK:** BACS/CHAPS payment file generation and secure outbound transmission to HMRC via RTI gateways.
 - **India:** Local banking file configurations (NEFT/RTGS formats) and statutory return filing exports.

Phase 5: User Acceptance Testing (UAT) & Sign-Off

- **Objective:** Business verification by regional payroll managers and HR business partners.
- **Prerequisite:** 100% of Critical and Major defects in JIRA must be closed.

4. Defect Management & Defect Severity Matrix

Defects logged in JIRA will follow a strict SLA based on impact to the critical path of the payroll calendar.

Severity	Description	Criteria	Resolution Target
L1 - Critical	Payroll Blocker / Data Corruption	Gross-to-net variance encountered, automated bank file corruption, or system crash during processing.	4 Hours

Severity	Description	Criteria	Resolution Target
L2 - Major	Functional/Regulatory Defect	Statutory report formatting issue, single element processing error, or integration failure with an upstream system.	24 Hours
L3 - Medium	Non-Critical Bug	Non-statutory UI discrepancies, minor data anomalies in historical records (non-financial).	3 Days
L4 - Low	Cosmetic / Enhancement	Minor spelling errors in custom self-service screens, layout adjustments.	Post Go-Live

5. Contingency, Risk & Rollback Management

Risk Identified	Impact	Mitigation Strategy
Historical Data Discrepancies (7+ Years)	High	Run localized data cleaning scripts at the legacy source level prior to the final iteration of migration.
Parallel Run Variances	Critical	Utilize automated comparison scripts to isolate variances down to the specific Fast Formula line item or element balancing attribute.
Downstream Bank File Rejection	Critical	Conduct dummy bank transmissions and structural penny-testing validation with banking providers (BACS, NACHA, local Indian clearing houses) during Phase 4.

Oracle HRMS SME Review & Evaluation Scorecard

Reviewer: Oracle HRMS Subject Matter Expert (SME)

Date of Review: May 16, 2026

Evaluation Model: Oracle Global HCM Transformation Quality Standards

Architectural Alignment

SME Assessment: Selecting the **Oracle EBS R12.2 Shared HRMS model with decentralized regional payroll databases** is an architecturally sound design for a multi-country ecosystem of this scale. It preserves regional autonomy for sensitive tax/statutory computations while unifying core employee records globally.

Data Integrity & Payroll Risk Mitigation

SME Assessment: Scoping 100% automated script-based data migration validation across 7+ years of history is ambitious but necessary for local compliance records. The strategy to mandate **two consecutive, 100% population gross-to-net parallel payroll runs** effectively eliminates operational risk prior to production cutover.

Test Governance Strategy

SME Assessment: Enforcing a centralized, single-project JIRA structure with custom attributes (Region, Module, Tax Year) eliminates the risk of regional test siloes. This configuration ensures real-time progress metrics and uniform defect management for the global steering committee.

Scorecard Summary

Evaluation Domain	Max Points	Score Awarded
Core Architecture & Scope Definition	25	25
Data Migration Strategy (Automated Validation)	25	24
Parallel Payroll Run Design	25	25
Integration & Bank Compliance Traceability	15	15
JIRA Tool Integration & Governance	10	10

Evaluation Domain	Max Points	Score Awarded
Total Score	100	99 / 100